

Configuring Pension Schemes

User Guide

Access Limited Distribution

Payroll

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Document Control

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1. Overview

1.1. Purpose of the Guide

The purpose of this document is to provide guidance on how to set up pensions on CoreHR.

Pension Schemes are set up as per the pension rules applicable in the organisation. For example, Pension schemes may include Additional Voluntary Contribution (AVC) schemes or alternatively AVC schemes may be set up as a separate scheme. It is worth noting that employees may be assigned to multiple schemes.

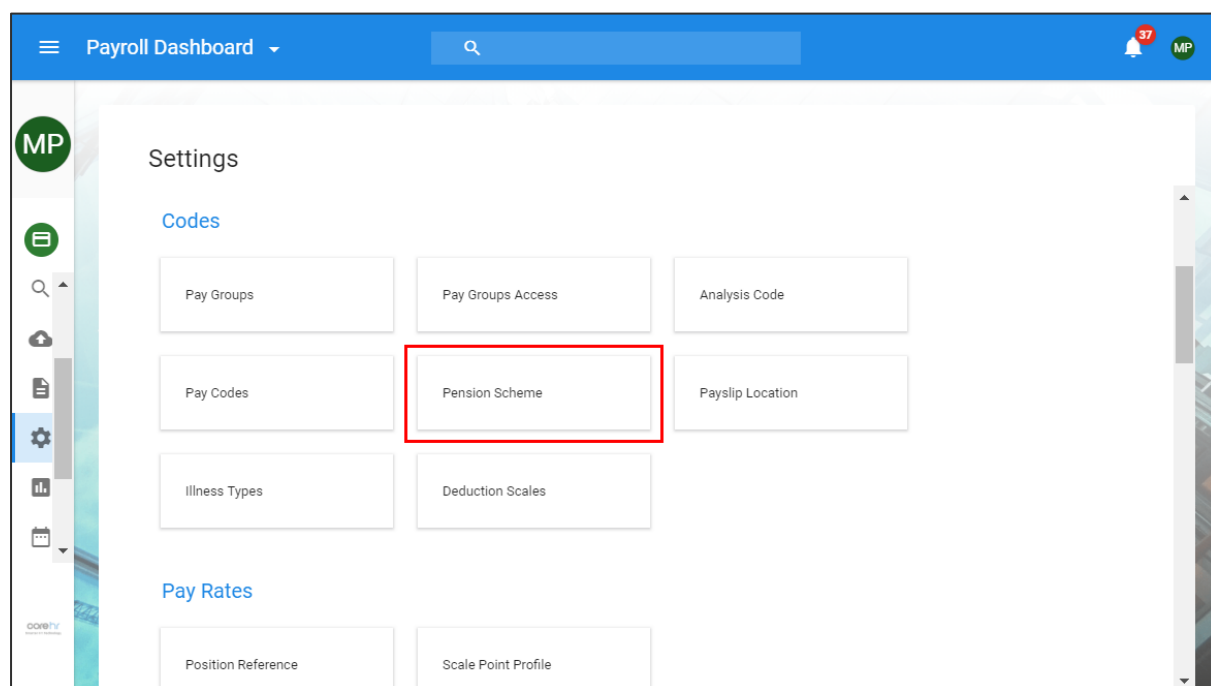
Pensions can be assigned to an employee via HR or Payroll, depending on your own requirements.

2. Configure Pension Parameters

2.1. Access to Pension Scheme on the Settings Tab

The following menu option is required for an employee to access the *Pension Scheme* screens from the Settings tab.

System	Menu Option
CorePortal Pay	Settings - Pension Scheme

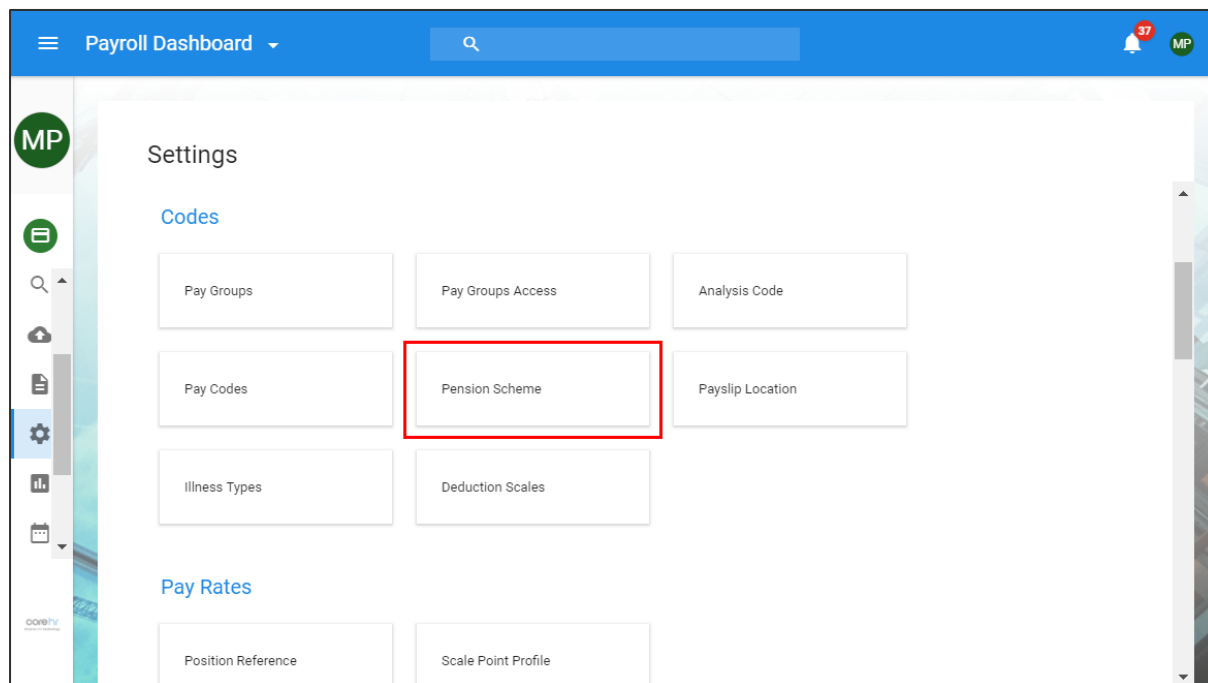


Status	Impact
Enabled	The user will have full view and edit access to the <i>Pension Scheme</i> screen.
Disabled	The user can still access the screen, but a 'You do not have access to this screen' message will be displayed.

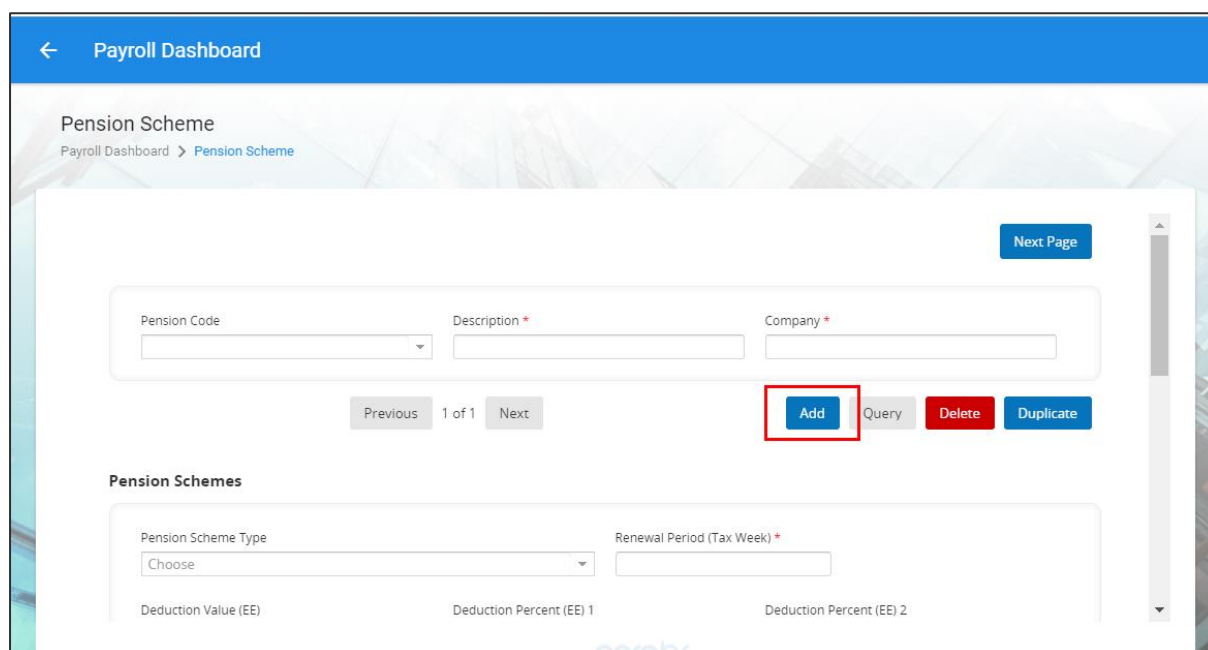
2.2. Configure a Pension Scheme

To configure a pension scheme:

1. Go to *Settings > Codes > Pension Scheme*



2. Click the blue **Add** button.



3. Add unique 'Pension Code'.

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4. Add a *Description* – a maximum of 50 alphanumeric characters.
5. Add a *Company* – a maximum of 40 alphanumeric characters.
6. Add the *Pension Schemes* details as required (see table on the next page for guidance).

Pension Schemes

Pension Scheme Type

Renewal Period (Tax Week) *

Deduction Value (EE)

Deduction Percent (EE) 1

Deduction Percent (EE) 2

Deduction Percent (EE) 3

Deduction Percent (ER)

Reckonable Days

Employer Contribution Multiplier

Primary

☐

PRSA

☐

Social Welfare Ded 1

Social Welfare Ded 2

Social Welfare Ded 3

Scheme Type

Calculate Only

Override Scheme %

The table below outlines the configurable mandatory and optional fields.

Field / Indicator	Description	Mandatory (Y/N)
Pension Scheme Type	Select a Pension Scheme type: - Group Defined Benefit Scheme - Group Defined Contribution Scheme - Other Scheme - Salary Sacrifice - Non-Standard Contribution Scheme	N
Renewal Period (Tax Week)	Enter the Tax Weeks which corresponds to the first week of the Pension Year	Y
Deduction Value (EE)	Enter the Standard Deduction Value if applicable. Note: These will override any percentages entered	N
Deduction Percent (EE) 1 - 3	The following fields, i.e. Percentage EE 1 to 3 will apply if the pension is to be calculated as a percentage of the employee's pensionable pay. (Fixed values can also be catered for at Pay	N

Field / Indicator	Description	Mandatory (Y/N)
	Code level). A percentage calculation can be broken down into 3 different percentages for the employee deduction. You may not always need to use all three EE percentages. An example of where you may need to use more than 1 EE percentage would be where the Old Age Pension rate is to be deducted before applying the first 3.5% but that the second 1.5% applies to all pensionable pay. Each percentage has a corresponding indicator called 'Social Welfare Ded 1 to 3'. Entering 'Y' beside the percentage means that OAP will be deducted off the employees' pensionable pay before applying the percentage.	
Deduction Percent (ER)	Enter the percentage, which the employer will contribute.	N
Reckonable Days	Enter the number of reckonable days service for employees in this scheme	N
Employer Contribution Multiplier	Enter a multiplier value used in calculating the employer contribution	N
Primary	If this is enabled, this scheme is treated as a Primary scheme, and the employee cannot be put another pension scheme whilst this is active.	N
PRSA	This should be set to 'On' if this scheme is a PRSA scheme	N
Social Welfare Ded 1 - 3	If a Social Welfare Deduction applies, enter 'Y'. This is applicable to Percentage contributions only and means that the relevant Old Age Pension Rate is deducted from the employee's pensionable pay before applying the specified percentage.	N
Scheme Type	Enter 'C' for Contributory or 'N' for Non-Contributory	Y

Field / Indicator	Description	Mandatory (Y/N)
Calculate Only	Enter 'Y' to Calculate but not deduct Pension value, otherwise, enter 'N.'	Y
Override Scheme %	Enter 'Y' to override Scheme Deduction % with Employee Deduction %	Y

7. Add the *Employee Pay Codes* details. These will normally be defined as part of the Reference Data Set-up, i.e. these Pay Codes must be set up before the pension scheme. The purpose of these headings is to allow you to assign Pay Codes to each calculation and thus allow these to be reported/viewed and analysed separately.

Employee Pay Codes

Deduction 1

Deduction 2

Deduction 3

Pre-tax Adjustment

Pre-tax AVC

The table on the next page outlines the available fields.

Field	Description
Deduction 1- 3	If your scheme is a percentage calculation, then the first percentage calculation will be posted to this Pay Code. If your scheme is a fixed value, then the amount will also be posted to this Pay Code. If you have more than one percentage deduction for the scheme, then the second percentage calculation will be posted to this Pay Code. If your scheme is a fixed value, then this heading will not be relevant. You should, in this case, use the same Pay Code for Deduction 1, 2 and 3.
Pre-Tax Adjustment	If you are making one-off adjustments to the EE contribution, e.g. the employee wants to contribute €10.00 for 6 weeks, then this can be recorded

	against the employee's pension scheme record. These adjustments will then be posted to the Pay Code specified here.
Pre-Tax AVC	AVCs can be set up as new / separate schemes in their own right or be attached to the main pension scheme(s). If attached to the main scheme, then the AVC amount can be entered at the employee pension scheme level and will be posted to the Pay Code specified here. If you decide to set up AVC as a separate scheme, then follow the same rules as a normal pension scheme.

8. Add the *Employer Pay Code* details.

Employer Pay Codes

Adjustment

Deduction

SS Savings Pay Code

SS Saving Contribution %

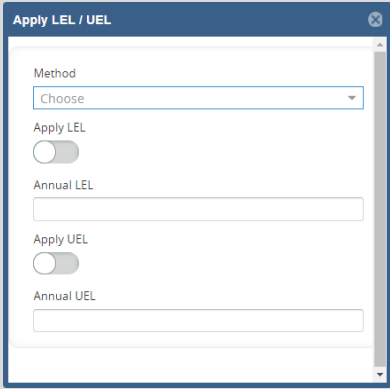
The table below outlines the available fields.

Field	Description
Adjustment	Select the relevant pay code from the drop-down menu to be used for the employer adjustment.
Deduction	Select the relevant pay code from the drop-down menu to be used for the employer deduction.
SS Savings Pay Code	Select the relevant pay code from the drop-down menu to be used for the SS Savings.
SS Saving Contribution %	Enter a value for the percentage contribution.

9. Click the blue **Next Page** button to for additional parameters.

10. Add any relevant *Maintain Pension Schemes* parameters.

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Field / Indicator	Description
Retirement Age (Male)	Enter retirement age for male employees.
Retirement Age (Female)	Enter retirement age for female employees.
Social Welfare Multiplier	Enter a multiplier for OAP adjustment.
Indicate Age at Joining	Enter 'Y' if age at joining is a factor in determining pensionable pay. This is for memo purposes only.
LEL/UEL	This is relevant to UK payroll calculations. The button opens a pop-up dialogue box which allows LEL/UEL to be configured.  If the 'Method' is set to Null or 'LEL Existing': Only the Apply LEL indicator will be selectable on this pop-up. If selected, the NI Lower

Field / Indicator	Description
	Earnings Limit (LEL) will be deducted from permanent before applying the EE percentages.
Full-Time Equivalent Hours	This is relevant to UK payroll calculations. If specified, then these hours will be used for part-time employees when pro-rating the LEL to be deducted from the employees' pensionable pay.
Pension Scheme Priority	Enter a number to determine the order Pay 300 processes Pension Schemes. This is only applicable when the Mandatory Priority Pension Schemes indicator is turned on at system level.
Compound Interest %	Enter the percentage at which compound interest is calculated on Pension Contributions.
Contribution Rate	Specify if Tiered Pension Contribution is based on FTE or Actual Pay.
Pay Code Exclusions	Turn this on to set up pay codes which should be excluded from the schemes percentage calculation.
Pay Code Inclusions	Turn this on to set up pay codes which should be included in the schemes percentage calculation.
Banded Scheme Type	Where applicable, select an option from the drop-down menu. • Banded • Banded Annual • Hybrid • Tiered • TPS Tiered
FTE Threshold	Enable this indicator where the employee is subject to maximum pensionable pay based on their FTE hours. This applies to all appointments combined.
Tiered Date Effective	Enable this if date effective applies to tiered percentages. This applies to pensions calculations going forward only and for the entire pay period. It is only effective for retrospective periods.

Field / Indicator	Description
Exclude from Band Assessment	Enable this to set up pay codes which should be excluded from this schemes percentage calculation.
Pension Pro Rata Calc	Enable this if the coordinated element of the pension scheme is subject to the pro-rata rules calculation.
ER Cost (Payslip Related)	Enable this if the employer element of this scheme is not to be included in the period or Cumulative Employer Pension contribution on the Core Generic Payslip.
Cost Centre ER Percent	Enable this if the ER pension value is to be calculated using cost centre pension rates.
SCON	Enter the 'Scheme Contacted Out Number' for the pension fund.
ER Top Up Required	Enable this to set up shared EE / ER cost IC Scheme Rules.
Pre Niable Scheme	Select Pre Niable Scheme if all deductions for this scheme are pre Niable. Note: All pay codes linked to this scheme must have the indicator 'Pre Taxable Deductions Print Side' enabled.
Pensionable Earning Cap	Add a value for the Pensionable Earnings Cap.

11. Add any relevant *Pension Renewal* details

Pension Renewal

Pension Renewal Indicator

☐

Pension Hours

Days in Year

Field / Indicator	Description
Pension Renewal Indicator	Enable this if this pension scheme is to be automatically renewed.
Pension Hours	Enter the <i>Default Pension Hours</i> for deriving annual salary for the Pension Renewal Module.

Days in Year

Enter the default days in the year for deriving daily pay. If this is blank, or zero is entered, days in the year from the pay group will be used.

12. Add any relevant GL Control A/C details. This includes assigning any of the following to pension for the employer's portion of the scheme:

- a. a cost centre
- b. a location code
- c. an expense code
- d. a project code

GL Control A/C

Cost Centre

Location

Expense

Project

13. Click the blue **Next Page** button.

14. Where applicable add / edit a required *Pension Message*.

Maintain Pension Message

Maintain Pension Message

You can enter a maximum of 4 lines, each with a maximum of 70 alphanumeric characters. This message will appear on employee's payslips, for employees who are paying into this pension scheme.

15. If required, enter *Provider Details*. This section allows the user to enter in the name, address and email of the pension provider for future reference.

16. Enter *Employer Identifier* details if required. This is used for reference purposes.

17. Enter *Scheme Reference Details* if required. This is used for reference purposes.

Pension Scheme

Maintain Pension Message

Provider Details

Provider Identifier Provider E-mail Address

Provider Address 1 Provider Address 2 Provider Address 3 Provider Address 4

Employer Details

Employer Identifier

Scheme Reference Details

Scheme Reference

18. Click the green **Save** button.